Consumer Behaviour

Detailed Study Notes

Module 5

Consumer Decision-Making Process

Course Faculty

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Compiled by

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Topics covered in this module

1. Types of Consumer Decisions
2. Consumer Decision-Making Process: problem recognition, information search, alternative evaluation, purchase selection, post-purchase evaluation
3. Buying Patterns in the New Digital Era
4. Four Views of Consumer Decision Rules: economic, passive, emotional and cognitive man
5. Models of Consumer Decision-Making: the Nicosia model (with a comparison of other models)

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1 Types of Consumer Decisions

1.1 Introduction

Consumer Decision Making

Consumer decision making is the **process of choosing between two or more alternatives** to satisfy a need. A decision exists only when there is a **choice**: if a consumer has no alternative, there is no decision.

Not every purchase needs the same effort. A consumer spends a few seconds choosing a packet of salt but weeks choosing a laptop. The effort depends on **involvement**, **perceived risk**, **price**, **knowledge and experience**, and **time available**.

1.2 Types of Decisions Based on Effort

	Nominal (routine)	**Limited decision making**
Effort	Very low; almost automatic	Moderate
Involvement and risk	Low	Low to medium
Information search	Little or none; memory used	Some; a few brands compared
Alternatives considered	One or two familiar brands	A few alternatives
Decision time	Seconds	Minutes to days
Typical products	Salt, bread, milk, soap, newspaper	Clothes, gifts, a new brand of snack or shampoo, a restaurant

	Extended decision making (extensive problem solving)
Effort	High
Involvement and risk	High: expensive, complex, risky or linked to self-image
Information search	Extensive, internal and external
Alternatives considered	Many brands and features compared in detail
Decision time	Days, weeks or months
Typical products	Car, house, laptop, education, insurance, wedding jewellery

Nominal (Routine) Decisions

Further divided into:

- **Brand loyalty**: the consumer repeatedly buys the same brand after being satisfied (always buying the same toothpaste).
- **Repeat purchase (habit)**: the consumer buys the same brand out of habit, without strong commitment (buying whatever is available in the usual shop).

Limited Problem Solving

The consumer knows the product category and some brands but wants to choose among them, or to try something new. Information search is brief and relies on previous experience, shop displays, friends' advice and ads. Decisions may use simple rules ("pick a well-known brand").

Extended Problem Solving

The consumer does not know the product well, the purchase is costly or important, and the risk is high. The full five-stage decision process is followed carefully. Marketers must provide detailed information, demonstrations and reassurance.

1.3 Impulse Buying

Impulse buying is a **sudden, unplanned purchase** made on the spot, often driven by emotion and triggered by a stimulus (display, offer, smell, sight).

- **Pure impulse**: a break from normal buying pattern (buying a gadget on seeing it).
- **Reminder impulse**: the sight of a product reminds one of a need ("I'm running out of detergent").
- **Suggestion impulse**: seeing a new product creates a need (a new snack at the counter).
- **Planned impulse**: the consumer plans to buy but depends on offers ("If there is a discount, I will buy"). The item and brand are chosen in the store.

Marketers encourage impulse buying through **eye-level placement, counter displays, discounts, limited-time offers, attractive packs, and easy payment**.

1.4 Assael's Four Types of Buying Behaviour

Henry Assael classified buying behaviour by **level of involvement** and **degree of difference between brands**.

	Significant differences between brands	**Few differences between brands**
High involvement	**Complex buying behaviour**: consumer learns about the product, forms beliefs, then attitude, then buys (car, laptop)	**Dissonance-reducing buying**: consumer buys quickly because brands look alike, then may doubt the choice (carpet, tiles, mattress)
Low involvement	**Variety-seeking buying**: consumer switches brands for variety, not dissatisfaction (snacks, biscuits, soft drinks)	**Habitual buying**: consumer buys out of habit, with passive learning (salt, sugar, matches)

Marketing implications

- *Complex buying*: give detailed information, product demos, expert reviews and after-sales support.
- *Dissonance-reducing*: provide reassurance, warranties, follow-up and positive testimonials.
- *Habitual buying*: use repetition, price offers, strong displays and easy availability; make the brand familiar.
- *Variety seeking*: ensure wide shelf presence, run promotions, and offer many flavours or variants; the market leader fights for habit, challengers for trial.

1.5 Other Ways of Classifying Decisions

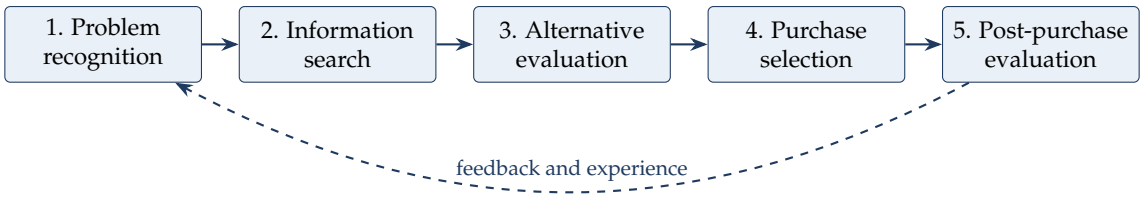
- **By decision maker**: individual, family (joint) and organisational (business-to-business) decisions.
- **By type of goods**: *convenience goods* (routine), *shopping goods* (limited to extended), *specialty goods* (extended, brand insistence), *unsought goods* (insurance, funeral services).
- **By time**: planned purchases, partially planned (need decided, brand chosen later), and unplanned.

1.6 Factors Deciding the Type of Decision

- **Involvement**: personal importance of the product.
- **Perceived risk**: financial, social, functional, psychological.
- **Price**: higher price means more careful decisions.
- **Product complexity and newness**.
- **Knowledge and past experience**: experienced consumers decide faster.
- **Time pressure** and **situation**.
- **Number and similarity of alternatives**.
- **Individual characteristics**: personality and demographics.

2 The Consumer Decision-Making Process

The consumer decision process is a **series of stages** that a consumer passes through when buying a product. It begins before the purchase and continues after it.



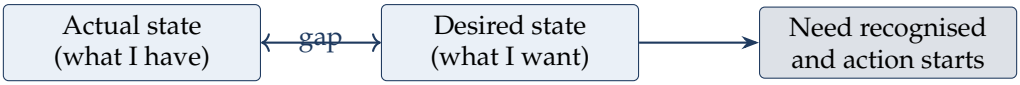
Key Points

- The stages are a **guide**: in routine or impulse buying, some stages are skipped or shortened.
- The process is **continuous**: the result of one purchase affects the next.
- The **effort** at each stage depends on the type of decision (routine, limited, extended).

2.1 Stage 1: Problem Recognition

Problem Recognition

Problem (need) recognition occurs when a consumer **perceives a gap between the actual state and the desired state** that is big enough to start action.



Types of problem recognition

- **Actual-state (need-based) recognition**: the current state falls below the standard (phone battery dies; stock runs out).
- **Desired-state (opportunity) recognition**: the desired standard rises after seeing something better (a friend's new phone).

Factors that trigger problem recognition

Trigger	Example
Time	Becoming hungry; seasonal need for woollens
Change in circumstances	Marriage, a new job, a new home, a new baby
Product acquisition	Buying a new phone creates the need for a cover and screen guard
Product consumption (depletion)	Running out of milk or fuel
Product or service failure	A laptop that no longer works
Individual differences	Different aspirations, personality and past experience
Dissatisfaction with the current product	A phone that feels slow
Marketing influences	Advertising, displays, offers, new product launches, social media
Social and cultural influence	Festivals, peer pressure, family expectations

Marketing implications

- **Measure** unmet needs through research, complaints and trends.
- **Activate** recognition: ads, samples, displays, reminders, emails, push notifications.
- **Create new desires**: show a better life or a new possibility.
- **Generic demand advertising**: "Have a glass of milk" stimulates the need before brand choice.
- **Timing**: use seasons, festivals and life events.

2.2 Stage 2: Information Search

Information Search

Information search is the **process by which a consumer scans memory and the environment** to collect data about possible solutions to a need.

Types of Search

- **Internal search**: recalling brands, past experience and knowledge from memory. If it gives a satisfying answer, external search may not be needed.
- **External search**: collecting information from outside sources when internal information is not enough.

Another view separates **pre-purchase search** (to solve a particular buying problem) from **ongoing search** (continuous interest, e.g. following gadget news or fashion).

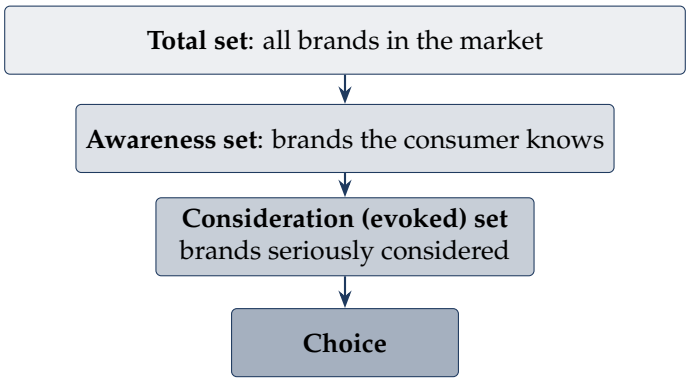
Sources of Information

Source	Examples	Notes
Personal	Family, friends, neighbours, colleagues	Highly trusted; word of mouth
Commercial (marketer-dominated)	Advertisements, websites, salespeople, packaging, displays, brochures	Most information; may be seen as biased
Public (neutral)	Consumer reports, rating agencies, media reviews, government bodies	Seen as unbiased
Experiential	Trying, test drive, handling, sampling	Strong but time-consuming
Online and digital	Search engines, reviews, comparison sites, social media, influencers, videos	Fast, large and growing

Factors Affecting the Amount of Search

- **Product factors**: high price, high risk, high importance, many alternatives, big differences between brands.
- **Consumer factors**: involvement, prior knowledge, confidence, shopping enjoyment, demographics.
- **Situational factors**: time pressure, availability of information, store distance, perceived cost of search (time and effort).
- **Market factors**: number of stores, variety of prices, ease of comparison.

Outcome of Search: the Brand Sets



Other brands known but not considered are the **inept set** (rejected) and the **inert set** (neither liked nor disliked). The marketer's aim is to be **in the consideration set**.

Marketing implications

- Make information **easy to find**: clear websites, search visibility, product pages, brochures.
- Use **trusted sources**: reviews, ratings, expert endorsements.
- Build **awareness and top-of-mind recall** to enter the consideration set.
- Provide **comparison tools** and **demonstrations**.
- Train **salespeople**, since they are a major source in extended decisions.

2.3 Stage 3: Alternative Evaluation

Alternative Evaluation

Alternative evaluation is the stage where the consumer **compares the brands in the consideration set** on chosen criteria and moves toward a preference and purchase intention.

Evaluative Criteria

Evaluative criteria are the **standards and attributes** used to judge alternatives: price, quality, brand, design, features, warranty, service, delivery, reviews, and style.

- **Objective** (price, size, mileage) and **subjective** (style, image, taste) criteria.
- **Salient attributes**: those that come to mind first.
- **Determinant attributes**: those that actually decide the choice. For example, most phones may have good screens, so battery life or price becomes determinant.
- Marketers can **influence criteria** by educating consumers ("Look for 5-star safety rating").

Decision Rules

Compensatory rules: a weakness in one attribute can be offset by strength in another.

- **Simple additive**: count the number of positive attributes; choose the highest.
- **Weighted additive**: rate each attribute, multiply by its importance, add up, and choose the brand with the highest total.

Non-compensatory rules: a weakness cannot be offset.

- **Conjunctive**: set minimum levels on all attributes; reject brands that fail any.
- **Disjunctive**: accept any brand that is excellent on at least one key attribute.
- **Lexicographic**: choose the brand best on the most important attribute.
- **Elimination by aspects**: remove brands one attribute at a time until one remains.

Heuristics (rules of thumb): "choose the well-known brand", "higher price means better quality", "buy what my family uses", "choose the cheapest".

Example: Weighted Additive Rule (Buying a Laptop)

Importance weights: price 0.4, battery 0.3, performance 0.3. Ratings out of 10.

Attribute (weight)	Laptop X	Laptop Y	Laptop Z
Price (0.4)	9	6	7
Battery (0.3)	6	8	7
Performance (0.3)	5	9	8
Weighted total	$3.6 + 1.8 + 1.5 = \mathbf{6.9}$	$2.4 + 2.4 + 2.7 = \mathbf{7.5}$	$2.8 + 2.1 + 2.4 = \mathbf{7.3}$

Laptop Y has the highest total, so the consumer chooses Y under this rule. Under a lexicographic rule where price matters most, Laptop X would win instead. The rule used changes the outcome.

Beliefs, Attitudes and Intentions

Consumers form **beliefs** about each brand, which combine into an **attitude** (favourable or unfavourable). Attitude leads to a **purchase intention**.

Marketing implications

- Find the **determinant attributes** and highlight them in positioning.
- Change beliefs: correct misunderstandings, add new attributes, change the importance of attributes.
- Use **comparison charts, trials, demos, guarantees** to help evaluation.
- Use **comparative advertising** carefully to favour the brand on key criteria.

2.4 Stage 4: Purchase Selection (Choice)

Purchase Decision

The purchase decision is the stage where the consumer **selects the brand, and decides where, when, how much and how to pay**.

Decisions Made at This Stage

- **Brand**: which brand or variant to buy.
- **Retailer (outlet)**: store, online marketplace, brand website or mobile app.
- **Quantity** and **pack size**.
- **Timing**: now or later; seasonal or festival offers.
- **Payment method**: cash, card, EMI, digital payment, buy-now-pay-later.

Intention vs. Actual Purchase

A purchase intention does not always become a purchase. Two factors can come in between:

- **Attitudes of others**: friends or family disapprove or suggest another brand. The more intense their opinion and the closer they are, the greater the effect.
- **Unexpected situational factors**: job loss, stock-out, price rise, a better offer, long queue, website failure, or a bad sales experience.

In-Store and Online Influences

- **In-store**: layout, shelf placement, displays, salesperson, packaging, price tags, crowding, music and smell.
- **Online**: page design, images, delivery time and cost, reviews, security, easy checkout and offers.
- **Unplanned buying**: many choices are made in the store; marketers use displays, discounts and cross-selling.
- **Cart abandonment online**: caused by unexpected costs, long checkout, forced registration, payment problems or lack of trust.

Marketing implications

- Ensure **availability** and wide distribution.
- Make buying **easy**: simple checkout, many payment options, EMI, free delivery.
- Use **point-of-purchase materials** and trained staff.
- Offer **limited-time offers and reminders** for abandoned carts.
- Build **trust**: secure payment, ratings, return policy.

2.5 Stage 5: Post-Purchase Evaluation

Post-Purchase Evaluation

After buying and using a product, the consumer **compares actual performance with expectations**. The result decides satisfaction or dissatisfaction, and so repeat purchase, loyalty and word of mouth.

Expectation–Disconfirmation

Performance vs. expectation	Result	Likely behaviour
Performance $<$ expectation	Dissatisfaction	Complaint, brand switch, negative word of mouth
Performance $=$ expectation	Satisfaction	Possible repeat purchase
Performance $>$ expectation	Delight	Loyalty, positive word of mouth, advocacy

Cognitive Dissonance

Cognitive dissonance (Festinger) is the **mental discomfort after a decision**, when the consumer doubts whether the right choice was made, especially for costly, hard-to-reverse purchases where rejected alternatives had attractive features.

- **Consumers reduce it by**: seeking supportive information, avoiding negative information, convincing themselves the choice was right, returning the product, or lowering the importance of rejected features.
- **Marketers reduce it by**: warranties, thank-you messages, follow-up calls, user guides, reassuring ads, customer care and easy return.

Post-Purchase Behaviour

- **Satisfied**: repeat purchase, brand loyalty, positive word of mouth, good reviews, more purchases from the same brand.
- **Dissatisfied**: do nothing; complain to the firm; complain to friends; post negative reviews; seek legal remedy; switch brands.
- **Product use**: how the product is used, stored and used up reveals new needs and uses.
- **Disposal**: throw away, recycle, resell, donate or keep. Environmental concern affects marketers.

Marketing implications

- **Set realistic expectations**: avoid exaggeration in ads.
- Deliver **consistent quality** and good after-sales service.
- Make **complaints easy** to register and solve quickly; service recovery can create loyalty.
- **Request reviews** and use feedback to improve.
- **Loyalty programmes**, personalised offers and communities.
- Provide **take-back and recycling** schemes.

2.6 Stage-wise Summary of Marketing Actions

Stage	Marketing focus
Problem recognition	Awareness, generic demand, triggers, timing, reminders
Information search	Be visible, provide trusted information, reviews, search presence
Alternative evaluation	Highlight determinant attributes, comparison, trial, positioning
Purchase selection	Availability, easy checkout, offers, trust, in-store and online experience
Post-purchase evaluation	Satisfaction, reducing dissonance, service, loyalty, handling complaints

3 Buying Patterns in the New Digital Era

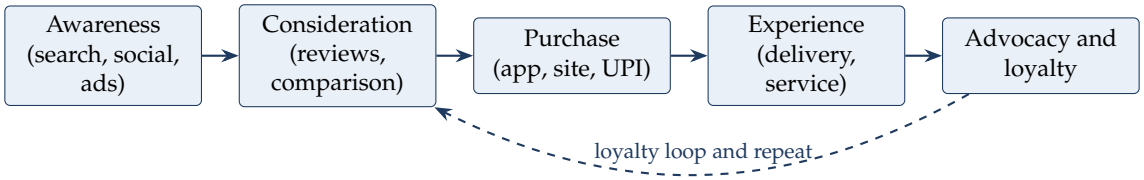
3.1 What Has Changed

The internet, smartphones, social media and digital payments have changed how consumers recognise needs, search, compare, buy and share experiences. The path to purchase is now **non-linear**: consumers move back and forth between online and offline channels at any time.

3.2 Traditional vs. Digital Buying Pattern

Aspect	Traditional	Digital era
Need recognition	Mostly through ads, shops, word of mouth	Also through social feeds, targeted ads, notifications and recommendations
Information search	Shops, salespeople, friends, print and TV	Search engines, reviews, videos, comparison sites, influencers, chatbots
Evaluation	Limited comparison across a few stores	Instant comparison of price, features and ratings across many sellers
Purchase	Mostly in physical stores, cash	Online marketplaces, apps, social commerce, UPI, cards, wallets, EMI
Delivery	Immediate	Home delivery, click-and-collect, same-day or quick delivery
After-purchase	Little feedback; local word of mouth	Public reviews, ratings, social sharing, easy returns
Consumer power	Limited	High: informed, connected, can compare and share instantly

3.3 The Digital Consumer Journey



The journey is often **circular**: satisfied customers re-enter near the consideration stage and buy again without searching widely. Every contact with the brand is a **touchpoint**.

3.4 Key Trends in Digital Buying

Trend	Meaning and marketing effect
Zero Moment of Truth (ZMOT)	The online research moment before the consumer reaches a shop or the brand. Marketers need strong search presence, content and reviews.
Micro-moments	Short, intent-driven moments on mobile: "I want to know", "I want to go", "I want to do", "I want to buy". Brands must be useful at that instant.
Omnichannel behaviour	Consumers mix online and offline channels. *Webrooming* (research online, buy in store) and *showrooming* (see in store, buy online) are common.
Social commerce and influencers	Product discovery and purchase through social platforms, short videos and live streams; trust in creators and peers.
Reviews and ratings	Online reviews act as modern word of mouth; they reduce risk but may include fake reviews.
Mobile-first and apps	Most browsing and buying happens on smartphones; speed, simple design and app features matter.
Digital payments and credit	UPI, wallets, cards, EMI and buy-now-pay-later lower the barrier to buying.
Personalisation and recommendations	Algorithms suggest products from past behaviour; increases relevance and impulse purchases.
Quick delivery and convenience	Quick-commerce and fast delivery raise expectations of speed and make small, frequent, impulse purchases easy.
Subscription and repeat buying	Auto-replenishment for groceries, medicines and media services.
Voice, chatbots and AI assistants	Voice search and AI chat give instant answers and recommendations.
Value consciousness and deal seeking	Easy price comparison increases search for discounts and coupons.
Sustainability and ethics	Awareness of environment and social impact influences brand choice.

3.5 Challenges for Consumers

- **Information overload** and difficulty choosing.
- **Fake reviews**, misleading ads and online frauds.
- **Data privacy** and tracking concerns.
- **Manipulative design** (pressure tactics such as false urgency).
- Inability to touch, try or see the product.

3.6 Marketing Implications

1. **Be present at every touchpoint**: search, social, marketplaces, own website and stores (omnichannel).
2. **Create useful content**: videos, guides, comparisons and reviews that help research.
3. **Manage reviews and reputation**: reply to feedback, encourage genuine reviews.
4. **Optimise the mobile experience** and the checkout process.
5. Use **data and personalisation** responsibly, with consumer consent.

6. Offer **flexible payment, delivery and returns**.
7. Build **communities and loyalty** to keep customers in the loyalty loop.
8. Follow **ethical practices** and protect customer data.

4 Four Views of Consumer Decision Rules

Different scholars have described the consumer in different ways. Each "view" makes different assumptions about *how* consumers decide. Together they give a fuller picture.

Economic man	Passive man	Emotional man	Cognitive man

4.1 1. Economic Man

Economic View

The consumer is seen as a **rational decision maker** who has complete information about all alternatives, evaluates them logically and chooses the one that gives the **maximum satisfaction (utility)** for the money spent.

Assumptions

- The consumer is aware of all available product alternatives.
- The consumer can correctly rank each alternative by its benefits and drawbacks.
- The consumer can identify the single best alternative.
- The consumer chooses by pure logic and aims to maximise value for money.

Criticisms

- In real life consumers **cannot** know all alternatives or all information.
- Consumers are limited by **income, time, memory and effort**.
- They are often influenced by **emotions, habits, social pressure and brand image**.
- Herbert Simon described this limit as **bounded rationality**: consumers accept a *satisfactory* choice (**satisficing**) instead of the best one.

Marketing implication: price, quality and clear product information matter; value-for-money appeals work for rational buyers (especially in high-priced, risky purchases).

4.2 2. Passive Man

Passive View

The consumer is seen as a **submissive, impulsive buyer** who is easily influenced by the promotional efforts of marketers and by self-interest, and who buys without much thought.

Features

- The consumer is seen as **irrational and impulsive**, open to persuasion by advertising, salespeople and offers.
- Buying is driven by **marketing stimulus** more than by the consumer's own needs.
- Marketers are seen as being in control.

Criticisms

- It ignores that consumers **actively search, compare, and refuse** offers, and they can choose among many competing marketers.
- Consumers often **ignore ads** and resist persuasion.
- It undervalues the **power of the consumer**, especially in the digital era with reviews and comparison.

Marketing implication: aggressive selling, promotion and impulse triggers work on some consumers (particularly in low-involvement buying), but ethical limits and consumer protection are needed.

4.3 3. Emotional Man

Emotional View

The consumer is seen as buying on the basis of **feelings, moods and emotions**, such as joy, fear, love, pride, nostalgia and status, rather than on cold logic.

Features

- Emotional (**hedonic**) buying is common in fashion, jewellery, perfumes, luxury goods, gifts, festivals and holidays.
- Feelings may affect decisions in the same way as facts: a brand that makes the consumer feel *happy, safe or admired* is preferred.
- **Impulse purchases** often follow moods or emotional triggers.
- Consumers often later **rationalise** an emotional decision with logical reasons.

Criticisms: emotions cannot fully explain buying; many purchases (health, safety, finance) involve careful reasoning; hard to measure emotions.

Marketing implication: use emotional appeals, storytelling, music, imagery and brand personality; build emotional bonds with brands; use festival and occasion marketing.

4.4 4. Cognitive Man

Cognitive View

The consumer is seen as a **thinking problem solver** who actively searches for information about products that fulfil needs and enrich life, but who has **limited ability** to process it. The consumer uses shortcuts and settles for a satisfactory choice.

Features

- The consumer is **neither fully rational nor fully passive**: the consumer reasons but within limits.

- Consumers **search, evaluate and learn**, and form preferences for brands.
- They use **heuristics and decision rules**, such as "buy the well-known brand", to reduce effort.
- They **satisfice**: accept a good enough option.
- The consumer is an **information processor**: exposure, attention, comprehension, retention.

Criticism: decisions can also be emotional or social; information processing differs with involvement.

Marketing implication: provide clear, useful information; make comparison easy; build familiar brands and simple cues (logos, ratings, certifications); support consumers who are learning.

4.5 Comparison of the Four Views

	Economic man	Passive man	Emotional man	Cognitive man
Basis of decision	Logic and full information	Marketer's influence	Feelings and moods	Limited, active thinking
Consumer is	Rational maximiser	Submissive, impulsive	Emotional	Problem solver
Information	Complete	Little used	Not central	Searched, limited processing
Result sought	Best (maximum utility)	Whatever persuaded	Emotional satisfaction	Satisfactory choice
Realism	Low	Low to medium	Medium	High
Marketer's tool	Price, facts	Promotion, selling	Emotional appeals	Information, simplicity

Key Points

Real consumers show **all four views at different times**: they reason (economic, cognitive), are swayed by offers (passive) and by feelings (emotional). Marketers should use the view that best suits the **product and the situation**.

5 Models of Consumer Decision-Making

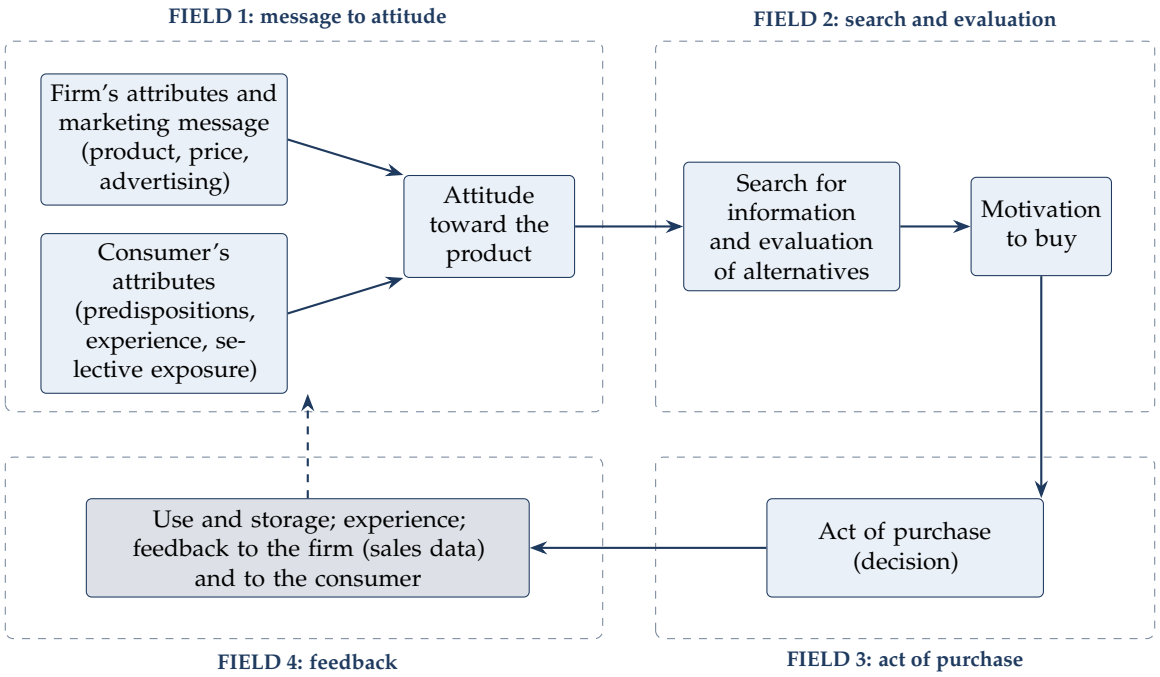
5.1 What is a Model?

A **consumer decision model** is a **simplified representation** of how consumers make decisions: the inputs, the mental processes and the outputs. Models help marketers **understand, explain and predict** behaviour.

5.2 The Nicosia Model

The Nicosia model was proposed by **Francesco Nicosia** in 1966 in his book *Consumer Decision Processes*. It is a **flow (systems) model** showing the **interaction between the firm and the consumer**: the firm communicates, the consumer responds, and the firm gets feedback. It focuses on the way a consumer's **attitude** is formed from marketing messages and leads to action.

Structure: Four Fields



Field 1: From the Source of a Message to the Consumer's Attitude

This field has two subfields.

- **Subfield 1: the firm's attributes and the firm's communication**. Features of the firm and its product, its marketing environment, competitors, and the advertising and promotional message. These are the *inputs* to the consumer.
- **Subfield 2: the consumer's psychological attributes**. The consumer's predispositions, experience, personality, motives and selective exposure determine how the message is received.

The message goes through the consumer's selective filters, and, if it is noticed and accepted, an **attitude toward the product** is formed.

Field 2: Search for and Evaluation of Means–Ends Relationships

The consumer, now with an attitude, **searches for other information and evaluates alternative means** (brands) to meet the need. The attitude may lead to an **inquiry** about the firm's product and alternatives. If the evaluation is positive, it produces a **motivation** to buy that brand.

Field 3: The Act of Purchase

The motivation leads to the **decision and action of purchase**, in the retail outlet or online. The firm's distribution, availability and selling effort affect this field.

Field 4: Feedback

After the purchase, the consumer **uses or stores the product and gains experience**. This experience is a major source of feedback:

- **To the consumer**: experience changes predispositions and attitudes for later decisions.
- **To the firm**: sales results and consumer response tell the firm how well its communication worked, so it can adjust its marketing.

Summary of the Nicosia Flow

Field	Process	Output
1	Firm's message meets consumer's predispositions	Attitude toward the product
2	Information search and evaluation	Motivation to buy
3	Decision and action	Purchase
4	Use, storage and experience; sales data	Feedback to the consumer and to the firm

Features of the Nicosia Model

- It is a **dynamic, circular** model with **feedback loops**.
- It treats **firm and consumer as two interacting parties**.
- It treats the decision as the result of a **sequence**: message, attitude, search and evaluation, motivation, purchase, feedback.
- It stresses the role of **attitude** and of **experience**.

Evaluation of the Nicosia Model

Strengths	Limitations
Shows the **interaction between firm and consumer** clearly	Complex and **hard to test** in practice
Includes **feedback** to both parties	Pays **less attention to social, cultural and family influences**
Links **advertising and communication** with attitude and action	Describes mostly a **new or first purchase**; routine buying is not well covered
Helps firms design **messages** that fit consumer predispositions	Some concepts (such as predisposition) are **difficult to measure**
Easy to follow as a **flow** of stages	Based on a **rational, sequential** view of decision making

Marketing Implications of the Nicosia Model

- **Know the consumer's predispositions** before designing messages.
- **Design communication** to reach the consumer, gain attention and shape a favourable attitude.
- **Facilitate information search** and comparison.

- Make the **purchase easy** and the product available.
- **Collect feedback** (sales, complaints, surveys) and use it to improve the product and communication.
- Ensure a **good product experience**, as it feeds into future decisions.

5.3 Comparison with Other Models (for Reference)

	Nicosia model (1966)	**Howard–Sheth model (1969)**
Main idea	Firm–consumer interaction in four fields	Brand-choice behaviour over repeated purchases with learning
Main elements	Message, attitude, search and evaluation, motivation, purchase, feedback	Inputs (stimuli), perceptual and learning constructs, outputs, external variables
Focus	Formation of attitude from firm's communication	Learning and brand choice with routine buying
Strength	Clear feedback loops	Detailed treatment of learning and different types of problem solving
Limitation	Hard to test; limited external factors	Very complex and many variables

	Engel–Blackwell–Miniard (EBM) model
Main idea	Decision process as a sequence: need recognition, search, evaluation, purchase, consumption, post-consumption evaluation, divestment
Main elements	Information input, information processing, the decision process, and the variables that influence it (individual and environmental)
Strength	Comprehensive; links the decision stages with personal and social influences
Limitation	Assumes a rational, orderly sequence; large and complex

Exam Tip

For the Nicosia model, always **draw the four-field diagram**, name the fields, explain each in two or three lines, and end with strengths, limitations and marketing use.

6 Quick Revision Summary

Topic	One-line recall
Types of decisions	Routine (nominal), limited and extended problem solving; impulse buying
Assael's types	Complex, dissonance-reducing, habitual and variety-seeking buying
Decision process	Problem recognition, information search, alternative evaluation, purchase selection, post-purchase evaluation
Problem recognition	Gap between actual and desired state; triggers include time, change, depletion, marketing
Information search	Internal and external; personal, commercial, public, experiential and online sources; consideration set
Alternative evaluation	Evaluative criteria and determinant attributes; compensatory and non-compensatory rules
Purchase selection	Brand, store, quantity, timing and payment; intention can be blocked by others or situation
Post-purchase evaluation	Expectation versus performance; dissonance; loyalty, complaints and disposal
Digital era	Non-linear, omnichannel; ZMOT, reviews, mobile, social commerce, digital payments
Economic man	Rational, fully informed, maximises utility; criticised as unrealistic
Passive man	Submissive and impulsive; led by marketers
Emotional man	Buys on feelings and moods
Cognitive man	Problem solver with limited processing; uses shortcuts and satisfices
Nicosia model	Four fields: message to attitude, search and evaluation, purchase, feedback